

Investors are taking long term monetary and economic stability for granted as well, to a degree unthinkable just ten years ago. For example, two of the USA's biggest corporations (Disney and Coca-Cola) issued *100-year bonds* in 1993, the first such issues since 1954. Investors who own these bonds are demonstrating the same degree of conviction that interest rates will remain low as their counterparts did in the early 1950s after two decades of decline to an all-time record low for long term government bond yields of 2.15%! From that psychological state of the bond market, interest rates began a nearly nonstop rise, doubling three times in three decades.

This blank state of thoughtless complacency extends beyond refusing to consider negatives to assuming positives that are not there. The survey by the Securities and Exchange Commission referenced in Chapter 11 also reveals that a shocking 66% of respondents are under the impression that the federal government insures money market mutual funds sold by banks. 50% think that even money market funds sold by stock brokers are federally insured. All these beliefs and attitudes will be shattered in coming years.

WINDS OF DEFAULT

If there is one conviction on Wall Street, it is that bonds are a safe investment. If stocks are good, goes the argument, then bonds are good, and if stocks are bad because of a recession, bonds are even better, because a recession will bring about lower interest rates. As the depression unfolds, then, what is the one thing that almost no one will be expecting (besides the depression itself)? The answer is, *higher interest rates*. How might such a trend come about?

Economists argue that recessions are always bullish for bonds. This prevailing professional view is ultimately nonsensical. It is not good for bond values if a deteriorating economy produces a drop in production so severe that the issuers of bonds, i.e., the borrowers, are unable to earn enough money to pay interest or principal. In fact, billions of dollars worth of bond defaults over the past thirteen years clearly reveal this point. More generally, if all the economy ever did was stand still or contract, no one could justify lending or borrowing, as there would be no production to pay off the obligations. Then why do economists, almost to a man, believe that economic contraction is good for bonds?

The reason for this view is that in the post-WWII period, an expanding economy has coincided with rising rates of inflation and falling bond prices. Economists typically begin their studies of his-